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FEDERAL MARITIME COMMISSION

WASHINGTON, D.C.

September 20, 1994

DOCKET NO. 89-26

THE GOVERNMENT OF THE TERRITORY OF GUAM, ET AL.

v.

SEA-LAND SERVICE, INC. AND
AMERICAN PRESIDENT LINES, LTD.

COMPLAINANTS' MOTION CONCERNING WHEN THE
CAUSE OF ACTION ACCRUES FOR REPARATION CLAIMS
UNDER THE SHIPPING ACT, 1916, DENIED

Complainants, the Government of the Territory of Guam, et al. ("GovGuam"), filed a motion concerning the statute of limitations for reparations claims under the Shipping Act, 1916 ("Shipping Act"), seeking an order holding that the cause of action for reparations in the Guam trade does not arise until the Commission finds the rates of respondents Sea-Land Service, Inc. ("Sea-Land") and American President Lines, Ltd. ("APL") to be unjust and unreasonable. Alternatively, GovGuam seeks an order tolling the statute of

limitations for reparations claims until such time as the respondents' rates in the Guam Trade are held to be unjust and unreasonable.

GovGuam notes that section 22 of the Shipping Act permits the Commission to award reparations claims "if the complaint is filed within two years after the cause of action accrued. . .", 46 U.S.C. app. § 502.821(a); and that this time limit on the filing of reparations claims is repeated in the Commission's regulations, 46 CFR § 502.63(a). GovGuam states that neither the statute nor the regulations define when a cause of action "accrues" for purposes of reparations claims in the context of a finding of unjust and unreasonable rates. GovGuam contends that as this proceeding concerns respondents' continuing obligation to maintain just and reasonable rates arising out of this "general rate action," however, the cause of action does not accrue until such time as the Commission finds the carriers' rates of return to be unjust and unreasonable.

Complainants challenge respondents' obligation to maintain just and reasonable rates based on overall revenue needs and the rate of return in the Guam trade. GovGuam states that this proceeding is not intended to determine whether respondents' tariff structure, that is, the rate charged for one commodity as compared to another, is lawful, nor is it intended to determine whether any particular rate, judged by traditional rate-specific factors, is unlawful. GovGuam argues that, rather, the proceeding was initiated because respondents' overall revenues in the Guam trade, when compared to their allocated costs, dramatically exceed the Commission's benchmark. GovGuam contends that the same theory supports complainants' challenge to respondents' rate increases on the 18 specific commodities

identified in the complaint, that is, these commodity specific increases are unjust and unreasonable given respondents' overall revenue revenues.

GovGuam states that the question is what are the rights of the hundreds of Guam shippers who are not complainants in this case if and when the Commission finds that the respondents' rates are unjust and unreasonable. GovGuam seeks a ruling that the shippers are permitted to file reparations claims upon a finding of unjust and unreasonable rates.

GovGuam contends that the cause of action for reparations claims accrues upon a finding of unjust and unreasonable rates. GovGuam states that the nature of this proceeding bears directly on determining when the cause of action for reparations claims accrues; and that the Commission has held as follows:

. . . claims for reparations on individual commodity rates generally accrue at the time they are paid. However, the Commission noted that claims for reparation due to an unreasonable general rate increase are separate and distinct 'causes of action.' They are based upon the general revenue levels of the carrier and not on the carrier's rate structure or the specific transportation factors affecting a commodity rate. Applying the rationale of *Crown Coat [Front Co. v. United States, 386 U.S. 503 (1967)]* we further held that a shipper's right to reparations based upon an unreasonable general rate increase did not accrue until the Commission issued a final decision in its investigation proceeding.

Military Sealift Command v. Matson Navigation Co., 21 SRR 459, 462 (FMC 1982).

GovGuam contends that claims based on overall unjustness and unreasonableness of rates are also "separate and distinct causes of action"; that they are also upon the "general revenue levels of the carrier and not on the carrier's rate structure or the specific transportation factors affecting a commodity rate"; that, accordingly, in this context, a shipper's right to reparations "[does] not accrue until the Commission issue[s] a final

determination in its investigation proceeding." *Id.*, relying on *Crown Coat Front Co. v. United States*, 386 U.S. 503 (1967).

GovGuam states that the complaint in *Military Sealift Command* was based on the FMC's holding in Docket No. 76-43 - *Matson Navigation Co.--Proposed Rate Increases in the United States Pacific Coast/Hawaii Domestic Offshore Trade*, 18 SRR 1351 (1978), and 19 SRR 263 (1979) (Order on Reconsideration), where Matson's general rate increase was found to be "unjust and unreasonable." The Commission held that "the determination that the subject general rate increase was unjust and unreasonable gives rise to a cause of action under section 22 of the Shipping Act, 1916 by any shipper who actually paid these tariffed rates when they were in effect." *Matson*, 19 SRR at 270. While the Commission recognized that the "rate increase was unreasonable from the date it became effective, the two-year limit on filing reparations claims did not begin to run until the Commission found the rates to be unjust and unreasonable." *Id.* (emphasis in original), citing *Crown Coat*. Matson asserted the statute of limitations as an affirmative defense on the theory that "Section 22 causes of action based on alleged unreasonable causes of action always accrue at the time freight charges are paid." *Military Sealift Command*, 21 SRR at 462. The Commission rejected this argument.

GovGuam states that in discussing the application of the two-year statute of limitations to the facts of the case, the Commission reasoned that "[t]he determination of when a cause of action actually accrues should not be restricted by rigid theories but should be made on the facts of a particular case in light of the purposes of the statute of

limitations." Thus, in addressing prior decisions regarding the accrual of causes of action in analogous situations, the Supreme Court explained:

The Court has pointed out before, however, the hazards inherent in attempting to define for all purposes when a "cause of action" first "accrues." Such words are to be "interpreted in the light of the general purposes of the statute and of its other provisions, and with due regard to those practical ends which are to be served by any limitation of the time within which an action must be brought. (Citations omitted.) 386 U.S. at 517.

Military Sealift Command, 21 SRR at 463.

GovGuam states that from this general principle, the Commission reasoned that its holding was required because "Section 18(a) and 22 of the Act are remedial in nature and generally should be so construed." *Id.* at 463. GovGuam argues that in this case as well, the remedial provisions of the Shipping Acts cannot be served unless the Commission precedent is followed; that the respondent carriers have for years operated in the Guam trade charging shippers unjust and unreasonable rates; and that, yet, the shippers cannot know they have been paying unjust and unreasonable rates until the Commission determines that respondents' overall revenues are unjust and unreasonable.

GovGuam states that in this case the challenge goes precisely to the "overall revenue needs" of the carriers; that, accordingly, under the Commission's prior analysis, the shippers' cause of action does not accrue until the respondents' rates are found to be unjust and unreasonable; that Guam shippers must be permitted to seek reparations for respondents' unjust and unreasonable rates upon the Commission's determination; and that, otherwise, the remedial provisions of the Shipping Act are rendered meaningless for these shippers. GovGuam also states that while the holdings in *Military Sealift Command* and *Matson* came

in the context of general rate increases, the basis in these decisions for the holding was not on the fact that the case was a general rate increase but was rendered based on the nature of the claims, specifically, a challenge to the overall revenues of the carriers.

GovGuam states that the Commission also considered, and rejected, the argument that the shippers should have "filed a protective suit which could have remained inactive pending the conclusion of the administrative proceedings." *Military Sealift Command*, 21 SRR at 463. GovGuam states that the Commission, refusing to elevate form over substance, realized that any such motions would be stayed pending the resolution of the rate investigation in order to preclude the possibility of conflicting decisions. *Id.* at 264. GovGuam states that the Commission also relied on the Supreme Court's analysis of this very issue:

Since it would remain quiescent until the administrative decision is rendered, the protective suit would be a sheer formality in any event -- a procedural trap for the unwary and an additional complication for those who manage the dockets of the courts.

Crown Coat, 386 U.S. at 503, quoted in *Military Sealift Command*, 21 SRR at 463.

GovGuam states that the Commission noted in *Military Sealift Command* that "[t]he objective of the statute of limitations is to prevent stale claims of which the [respondents] had no prior notice and the facts and merits of which become less susceptible of determination due to the fading of memories and loss of records and evidence." *Military Sealift Command*, 21 SRR at 462, citing *Order of Railroad Telegraphers v. Railway Express Agency*, 321 U.S. 342 (1944); GovGuam states that none of these considerations are present here.

GovGuam states that since the initiation of this action, the carriers have been on notice that there are hundreds of shippers who have claims if respondents' rates are unjust and unreasonable; that respondents cannot now claim that they had no "prior notice" of these potential claims; nor is there any chance that the record or evidence will fade as all the facts relevant to the reasonableness of respondents' rates are before the Commission through what respondents are fond of calling the largest and most expensive case in Commission history; and that any claim for reparations cannot be considered stale.

GovGuam states the statute of limitations should be tolled pending the resolution of this proceeding. GovGuam states that, even if it is assumed that the cause of action accrued when the freight charges were paid, the Commission has held that under such circumstances the statute of limitations is tolled until the Commission finds the carriers' overall rate of return to be unjust and unreasonable. GovGuam states that in *Military Sealift Command*, the Commission expressly considered and adopted an alternative holding that "the running of the limitations period would be tolled pending the disposition of the general rate increase investigation." *Military Sealift Command*, 21 SRR at 464, citing *Crown Coat*, 386 U.S. 503, and *American Pipe & Construction Co. v. Utah*, 414 U.S. 538 (1973). GovGuam states that the Commission recognized that the tolling of the statute of limitations was necessary in the general rate increase investigation because "it provides for enforcement of the act without unnecessary procedural complications and congestion of the Commission's dockets." *Military Sealift Command*, 21 SRR at 464. GovGuam concludes that, thus, even if the shippers' causes of action accrued at the time the freight charges were paid, the statute of limitations was tolled when this complaint was filed; that, otherwise, the remedial provisions of the

Shipping Act become illusory for the hundreds of shippers who have paid respondents' unjust and unreasonable rates.

REPLY OF APL

APL replied that GovGuam's motion does not seek any relief in this proceeding; that, instead, it requests a declaration as to the statute of limitations that may apply in other, future cases that may be brought by other Guam shippers who are not parties to Docket No. 89-26; that the issues raised in GovGuam's motion are not properly open for decision and the motion must be denied on both jurisdictional and jurisprudential grounds.

APL states that GovGuam's unsuccessful efforts to represent non-party shippers started with its original complaint which purported to seek reparations not only for GovGuam itself, but also for all other "shippers in and to Guam"; that this portion of the complaint was dismissed: "Insofar as the Complaint seeks reparations to Guam for shipments made by other shippers, it is hereby dismissed," Procedural Order of March 9, 1990, at p. 2; that this ruling was reaffirmed in the April 26, 1992, Order granting complainants' motion to bifurcate (p. 3), which barred proof of reparations relating to shipments "other than those of the four complainants."

APL states that, in authorizing GovGuam to amend its complaint to add four shippers as complainants, the ruling was that the two-year statutory period for recovery of any reparations by these private complainants would run from the date of the amended complaint, not from the date of the original complaint; that GovGuam acknowledged that this ruling was correct, transcript of March 8, 1990, Prehearing Conference at pp. 32-46.

APL states that GovGuam's class action suit in federal court sought to obtain reparations for the same class of Guam shippers as it had sought in its initial complaint to the FMC; that the complaint was dismissed by the district court for lack of jurisdiction. *GovGuam v. APL*, 809 F.Supp. 150 (D.D.C. 1993), and that dismissal was recently affirmed by the court of appeals on July 8, 1994, *GovGuam v. APL*, 28 F.3d 142 (D.C. Cir. 1994).

APL contends that the dispositive consideration is that there is no basis for a ruling as to the law that would apply in some other, hypothetical proceeding that may or may not occur in the future; and that the ALJ has no jurisdiction to rule on the statute of limitations that may be applicable in some other proceeding since the delegation of authority that the FMC made to him extends only to Docket No. 89-26.

APL states that GovGuam cites no authority under which there is jurisdiction in this case to make a ruling relating to future, hypothetical proceedings; and that two administrative law judges have already ruled that the complaint in "this proceeding" does not include any reparation claims except those of the actual complainants.

APL states that even if the ALJ were to have jurisdiction to decide hypothetical reparation issues for non-party shippers, it would be inappropriate to exercise that jurisdiction now.

Standing. APL states that it has been held twice that GovGuam lacks standing in this proceeding to litigate issues relating to reparations that may be available to "other" shippers that are not parties to this proceeding. APL states that GovGuam does not represent these unnamed shippers and has no greater standing to assert their rights as regards other proceedings than it does as to this proceeding.

Advisory Opinion. APL states that the relief that GovGuam requests is for an advisory opinion, a declaration as to the law on the Shipping Act statute of limitations in a hypothetical situation. APL states that as to the non-party shippers on whose behalf the motion is purportedly filed, the issues of limitations GovGuam poses are hypothetical and speculative pending a substantive determination by the Commission (a) that GovGuam is entitled to bring a complaint addressed to the carriers' trade-wide rates of return; (b) that respondents' trade-wide rates of return have been unreasonable; (c) that reparations can and should be awarded on account of such past circumstances; and then some unknown shipper(s) must thereafter file complaint(s) for reparations.

Ripeness. APL states that assuming *arguendo* that GovGuam is right as to the application of the statute of limitations, then Guam shippers lose nothing if the matter is not addressed until it is known whether GovGuam prevails on its claim of unreasonable rates; and that if GovGuam is wrong about the statute of limitations, there is no practical import to a current decision to that effect, since the two-year statute of limitations has long since run. (APL states that the most recent APL tariffs evaluated in Docket No. 89-26 were for the year 1990, and that in any event APL has been performing its Guam service pursuant to ICC tariffs since August 1991.)

APL states that GovGuam has conceded that issues of limitations are not ripe pending decision on the substantive issues in this case. See, e.g., Complainants' Motion to Bifurcate the Hearing in this Proceeding (March 16, 1992) at p. 9 (presentations on reparations would be "unnecessary" if the FMC ruled in favor of respondents as to liability). APL states that if issues of reparations are "not now ripe" with respect to complainants in

Docket No. 89-26, manifestly they are not ripe with respect to total strangers to the proceeding.

APL states that GovGuam's current position on limitations is inconsistent with the prior limitations rulings in this proceeding. APL states that incident to granting GovGuam's motion to amend its complaint to add four (now three) private shippers as co-complainants, the ruling was that, under the Shipping Act, the statutory limitations period is measured from the date that the complaint (or equivalent pleading) is filed; that the statutory period for GovGuam would run backwards for two years from the date GovGuam filed its complaint, but that the statutory period for the private complainants would be measured from the date the complaint was amended to include them as complainants. APL states that GovGuam not only failed to object but it affirmatively agreed to that ruling.

REPLY OF SEA-LAND

Sea-Land urges denial of the motion for all or any of the following reasons:

1. If the motion is one seeking a ruling for potential claimants in future proceedings, it is at best premature and lacks any indication that GovGuam, a complainant in this docket, has standing to raise the issue.
2. The motion is entirely hypothetical, addressing the theoretical rights of potential claimants not parties here. The rights of these absent parties to pursue claims against the carriers in this forum are either time-barred or (if one were to accept GovGuam's premise) have not yet become actionable. In either event there is no purpose served to review these theories in this proceeding.
3. The motion asks the ALJ to exercise equitable powers that neither he nor the Commission possess.

4. The motion seeks indirectly to re-litigate procedural rulings that have governed this proceeding since before the commencement of hearings. To change the law of the case now would cause irreparable harm to respondents' defense.
5. The motion is not authorized by the governing procedural schedule and, given its hypothetical basis, serves no purpose in this proceeding other than mischievous distraction and the imposition of additional expense at a time when resources are at peak demand.
6. The motion relies on but one reported case and its interior citations. That case arose in the aftermath of a Commission-initiated general revenue investigation under the Intercoastal Shipping Act, 1933, and is not applicable to section 22 complaints under the Shipping Act, 1916, by individual shippers against rates of domestic carriers. In order to grant GovGuam's motion, one would have to accept the premise that this proceeding is no different than the Commission-instituted Intercoastal Act general revenue investigation that formed the background of the *MSC v. Matson* case upon which GovGuam places sole reliance.

Sea-Land states that the effects of the Shipping Act's two-year limitation period and the status of non-parties have been clearly decided in rulings in this proceeding and have been conceded in GovGuam's submissions to the federal courts. Sea-Land states that GovGuam has conceded that the Shipping Act's two-year statute of limitations, 46 U.S.C. § 821, has cut off all claims for reparations by non-party Guam shippers; and that in argument before the federal court, GovGuam noted that the two-year statute had the effect of extinguishing any claims of those not parties to the instant proceeding. Sea-Land states that the following statement appears at page 5, fn. 4, of GovGuam's Brief to the District Court:

Under the facts of the present case, however, the Guam Shippers cannot, practicably or realistically, seek FMC reparations. In fact, the statute of limitations has run at the FMC on many of the claims sought to be protected

by this action. The FMC's statute of limitations is two years. 46 U.S.C. § 821. This class action [*i.e.*, GovGuam's claim in federal court] was filed on March 10, 1992, and covered claims back to March 10, 1990. It is now March 23, 1994. If the hundreds of potential claimants were to do as the defendant-carriers suggest and now file FMC claims, they would be barred for all claims from March 10, 1990 to March 23, 1992.

Sea-Land states that GovGuam's reliance on *Military Sealift Command v. Matson* is misplaced. Sea-Land states that because there are ample grounds to deny the motion without reaching this authority, Sea-Land confines its comment on that case to the observation that grant of GovGuam's request would, if based on *MSC v. Matson*, require at least implicit acceptance of GovGuam's assertions that this private complaint proceeding is indistinguishable from Commission-instituted investigations of General Rate Increases under the Intercoastal Shipping Act, 1933, which is a major point of contention between the respondent carriers and GovGuam. Sea-Land notes that *MSC v. Matson* arose in a post-Intercoastal Act investigation context; that there is no such investigation and no Commission ruling as to lawfulness of rates here; and that if there ever would be an appropriate time to discuss the rights of theoretical shippers in an *MSC v. Matson* context, it is only after there is a Commission ruling on the reasonableness of rates in Docket No. 89-26.

DISCUSSION AND CONCLUSIONS

GovGuam filed a motion concerning the statute of limitations for reparations claims under the Shipping Act. It seeks a ruling now that the cause of action for reparations in the Guam trade arises if and when the Commission finds respondents' assailed rates to have

been unjust and unreasonable. Alternatively, GovGuam seeks a ruling tolling the statute of limitations for claims for reparations until the time when and if the Commission finds respondents' assailed rates to have been unjust and unreasonable. GovGuam poses the question of what are the rights of the hundreds of Guam shippers who are not complainants here if and when the Commission issues a decision holding that respondents' assailed rates were unjust and unreasonable. GovGuam urges the applicability of the holding in *Military Sealift Command*--that a shipper's right to reparation based upon an unreasonable general rate increase did not accrue until the Commission issued a final decision in its investigation proceeding--21 SRR at 462.

The Shipping Act, in section 22(a), 46 U.S.C. app. § 502.821(a), provides a right of action, if the complaint is filed within two years after the cause of action accrued, for reparations for rate violations through a Commission proceeding:

Any person may file with the Federal Maritime Commission a sworn statement setting forth any violation of this chapter by a common carrier by water in interstate commerce . . . and asking reparation for the injury, if any, caused thereby. . . . The Commission, if the complaint is filed within two years after the cause of action accrued, may direct the payment, on or before a day named, of full reparation to the complainant for the injury caused by such violation.

The term "after the cause of action accrued" is not defined in the Shipping Act, 1916, or the Shipping Act of 1984, or the regulations, 46 CFR § 502.63. In *Crown Coat*, 386 U.S. at 517, the Supreme Court pointed to the hazards inherent in attempting to define when an action accrues, for all purposes. The question of when a cause of action accrues has been explored, for example, in *Ivarans v. Companhia de Navegacao Lloyd Brasileiro*, 23 SRR

1543, 1551 (I.D. 1986), adopted with clarifications, 24 SRR 1468 (1988), *Tractors and Farm Equipment Ltd. v. Waterman Steamship Corp.*, 25 SRR 350, 364 (I.D. 1989), 26 SRR 607 (I.D. 1992), and *Western Overseas Trade and Development Corp. v. ANERA*, 26 SRR 875, 885 (1993), as well as in *Military Sealift Command*.

One question ultimately may be when did the cause of action accrue for Guam shippers who are not party to this proceeding. GovGuam urges that the question be answered now. However, before properly reaching that question there must be a final decision accepting GovGuam's theory of the case and resulting in a finding that respondents' assailed rates were unjust and unreasonable and that reparation will be awarded. If such findings are not made the question is moot. If such findings are made GovGuam's accrual argument and the applicability of *Military Sealift Command* can be addressed, including GovGuam's alternative request. But no convincing reason has been adduced demonstrating that these questions should be decided now. The procedural schedule agreed to by GovGuam does not provide for presentation of briefs on such questions. If they were considered now, due process would require allowing further papers by respondents on the merits of GovGuam's accrual argument and the applicability of *Military Sealift Command* since they have not addressed them. And this would be inappropriate since briefs are currently due on November 7, 1994, as to the merits of this proceeding. No adequate reason has been presented as to why the parties' preparations on such briefs should be further diverted to address GovGuam's accrual argument now before the liability phase has been completed. All questions relating to reparations, including the applicability of *Military Sealift Command* in the context of this proceeding, must await the parties' submissions, if

any, in the second phase and/or if and when non-parties to this litigation file a subsequent complaint.

The subject of the statute of limitations is not a new issue here. The only thing new is GovGuam's citation of the decision in *Military Sealift Command* and its urging that a ruling should issue now that it would apply in some future proceeding, as to which no opinion will be expressed. Previously, GovGuam has been barred here and in federal court from presenting claims for reparation by non-parties. In the present proceeding, after a prehearing conference, a Procedural Order was served on March 9, 1990, granting a Motion to Amend the Complaint to include four added complainants but dismissing the complaint insofar as it seeks reparations for shipments made by other shippers. GovGuam recognized at that time that the statutory period for filing claims for reparations in this case began to run two years before the complaint was filed and, for the added complainants, two years before the amended complaint was filed. Transcript of March 8, 1990, Prehearing conference at pp. 34-40. In addition, the order of April 16, 1992, granting GovGuam's request to bifurcate the proceeding into a liability phase and, if liability is found, a reparation phase, ruled that neither phase could include evidence of any shipments of those other than GovGuam and the then four complainants.

GovGuam has also failed in federal court to obtain certification, for recovery of reparations here, of a class consisting of shippers and persons who have dispatched or received shipments into or out of Guam via respondents. Because there is no cause of action, express or implied, for a shipper to challenge a carrier's rates in the district court under the Shipping Act or the Intercoastal Shipping Act, the court action was dismissed for

lack of subject matter jurisdiction in: *Government of Guam v. American President Lines*, 809 F.Supp. 150, 26 SRR 755 (D. D.C. 1993). That dismissal was affirmed on July 8, 1994, in No. 93-7023 (D.C. Cir. 1994). GovGuam has now returned here.

Whether the statute of limitations for reparations claims under the Shipping Act begins to run when the Commission finds respondents' rates to be unjust and unreasonable or whether the statute should be tolled are hypothetical questions not shown to be proper or necessary to be addressed in the present proceeding at the present time. The motion will be denied.

IT IS ORDERED:

The motion of GovGuam, filed August 9, 1994, is denied.


Frederick M. Dolan, Jr.
Administrative Law Judge